



LABSTAT INTERNATIONAL INC.

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3
Phone (519) 748-5409 FAX (519) 748-1654

Limitations to the use of Labstat's Analytical Reports¹

Labstat International Inc. is a recognized centre of analytical excellence related to tobacco and tobacco products. Our clients include major international tobacco manufacturers, various Governments and Government agencies such as the Canadian Federal Department of Health and the Massachusetts Department of Public Health, agricultural interests, university researchers and private research interests. Normally our contractual obligations extend **only** to the provision of data and related reports.

It should be noted², in this regard, that

All analytical data and reports, provided by Labstat International Inc., are for the exclusive use of the person, partnership, or corporation to whom it is addressed, and neither the data, the report nor the name of the laboratory (Labstat International Inc.) nor any member of its staff may be used in connection with the advertising or sale of any product or process without written authorization from the CEO of the company or his designate. Labstat International Inc. is not responsible for unauthorized use of test reports.

The following also applies to reported data.

All Labstat reports on testing relate only to the sample received and tested by it at the time of testing. Labstat warrants that all samples submitted were tested in accordance with its standard chemical test procedures. Except as stated herein, there is no warranty expressed or implied, statutory or other wise, as to the results of Labstat tests. Labstat does not warrant or guarantee the fitness of the materials from which the samples have been drawn for any particular purpose including without limitation for consumption as cigarettes, cigars, smokeless tobacco or any other form of tobacco or tobacco-related product.

¹ This document may not be reproduced, in whole or in part in any form, without the written consent of the author(s) on behalf of Labstat International Inc.

² Unless superseded by a specific contractual obligation or other written agreement.

**LABSTAT INTERNATIONAL INC.**

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3
Phone (519) 748-5409 FAX (519) 748-1654

Notes to Accompany Price Quotation:**1. Accreditation**

Labstat International Inc. has been accredited to ISO 17025
with a scope that includes 63 tobacco related methodologies

**2. Methods**

Methods to be employed have been internally validated as required by Labstat's Quality System.

3. Number of observations

This price quotation is based on the assumption that the number of replicates required is as indicated. Labstat will be pleased to revise this quotation should this assumption not be correct.

4. Time Frame

20 working days from the receipt of product.

5. Payment

Invoices are due when rendered and payable within 30 days of submission.

6. Time Limits

This price quotation is valid until December 31, 2006.



LABSTAT INTERNATIONAL INC.

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3
 Phone (519) 748-5409 FAX (519) 748-1654

To: R.J. Reynolds
 P.O. Box 1148
 950 Reynolds Boulevard
 Winston-Salem NC
 27102-1487

Quote No.: T2006
 Project: Not Assigned
 Date: 6-Feb-06

Attn: Dr. Mike Borgerding

Item	Mainstream Tobacco Smoke (6 Replicates)	Cost/ Obs.	Obs. per Brand	No. of Brands	No. of Regimes	Total No of Obs.	Cost per "Item"
	20 working day turnaround	American \$					
1	Sample handling, login and recording	\$25.51	1	7	n/a	7	\$178.57
2	Miscellaneous Organics (benzene, toluene, 1,3-butadiene, isoprene, acrylonitrile)	\$255.00	6	8	3	144	\$36,720.00
3	EPR evaluation of mainstream tobacco smoke (Particulate Phase and Gas Vapour Phase) (3 puffing regimens; see below)	\$165.00	6	7	3	126	\$20,790.00
						Sub-Total	\$57,688.57
4	Surcharge for 2 non standard smoking regimens and 'Eclipse Type' product(s) (see below)					10%	\$5,751.00
						Total	\$63,439.57

Puffing regimens:

- (1) 35 ml puff of 2 s duration every 60 s (35/2/60)
- (2) 45 ml puff of 2 s duration every 40 s (45/2/40)
- (3) 60 ml puff of 2 s duration every 30 s (60/2/30)

Number of Brands and Brand Types:

No of Brands:

- volatiles 8 (blank, 3 Eclipse and 4 tobacco burning)
- free radicals 7 (blank, 3 Eclipse and 3 tobacco burning)